

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analysis (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DFG

Date: 5/20/2026

Bill Number: HB117

Short Title (as it appears on BASIS): ELEC MONITOR TRAWL FISHERY/SET NET PERMIT

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

ADF&G recommends the Governor allow the bill to become law without signature. The bill addresses two separate issues raised by Alaska's commercial fishing participants and stakeholders; both respond to long-standing management challenges and public concerns.

The bill 1) authorizes a narrow electronic monitoring program for state-managed trawl finfish fisheries (does not include shellfish such as shrimp beam or otter trawl fisheries), and 2) establishes a new administrative area for the Cook Inlet East Side Set Net (ESSN) fishery.

During the 2024 Legislative Session, the Governor introduced two companion bills (SB209 and HB294) on electronic monitoring for commercial fishing vessels. The provisions in this bill have the same overall goal as the Governor's legislation but with a narrower scope, as described in the next section. ADF&G and the Board of Fisheries support adding the option for an electronic monitoring program, as it provides another important tool for managing Alaska's fisheries.

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For the second change, while many ESSN fishery participants will likely support this, some non–Cook Inlet fishermen have raised concerns about the precedent it may set. With the buyback provisions removed from prior iterations of the bill, the controversy is reduced. However, recent Board of Fisheries action to remove set-gillnets as the legal gear type and replace it with a limited number of beach seine nets may draw attention and opposition to this part of the bill. Some supporters of SB158 withdrew support for the bill after the board’s action.

Allowing the bill to become law without signature reflects the mixed perspectives among user groups while enabling practical updates to commercial fisheries management.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

Originally, HB117 would have authorized commercial set gillnet permit holders to form fishing cooperatives. Some of Alaska’s set gillnet fisheries have operated as multi-permit cooperatives for decades, and the bill would have allowed these long-standing practices to continue. ADF&G worked with the sponsor’s office to refine the bill and had no fisheries management concerns. However, fishery participants in Bristol Bay raised objections, resulting in the removal of the set-gillnet cooperative provisions in its entirety, which was replaced with SB158: COOK INLET: NEW ADMIN AREA.

The language that was added to this bill from SB158 creates a new administrative area for the ESSN commercial salmon fishery in Cook Inlet. Implementation of these provisions falls primarily to the Commercial Fisheries Entry Commission (CFEC), which would reassign permits to the new area based on criteria in the bill. ADF&G’s role would be limited to amending regulations for the Cook Inlet Central District, Upper Subdistrict, to establish the new ESSN administrative area. Both agencies are neutral on this part of the bill and can implement it within existing resources, reflected in zero fiscal notes.

The bill was also amended to incorporate an electronic monitoring (EM) program for trawl finfish fisheries. Previous feedback on the 2024 Governor’s bill indicated the language was too broad. Since then, ADF&G has worked with Senator Wielechowski and Representative Stutes to develop sideboards acceptable to the department, industry, and advocates for more regulatory oversight of Alaska’s commercial fisheries. The revised language limits EM authority to trawl vessels that already carry federally required EM systems, does not allow the department to require the purchase new equipment, and requires the Commissioner to make findings similar to those required for onboard observer programs.

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The other major difference from the Governor’s prior bill is that the authority to establish and implement an electronic monitoring program is vested solely with the Commissioner. The department is fine with this change, because the Board of Fisheries still has authority to establish total bycatch limits in a state trawl fishery, then ADF&G can then use electronic monitoring as an effective data collection and enforcement tool to monitor those limits in the fishery. With these sideboards, ADF&G would only be able to implement electronic monitoring in the Prince William Sound pelagic trawl pollock fishery or the Aleutian Island subdistrict bottom trawl pacific cod fishery.

While there are no immediate costs, future funding will likely be needed. This new program may require hiring and training new staff or contracting with another agency for data transmission, storage, and review. Currently, the federal government contracts with the Pacific States Marine Fisheries Commissioner. If needed, ADF&G would request additional funding through the budget process to implement the program, providing review of the funding request by the Governor’s office and Legislature.

Overall, both the new ESSN administrative area and the EM authority have some support among user groups. The electronic monitoring component in particular provides a responsible, transparent oversight tool for state-managed trawl fisheries, which face heightened scrutiny due to negative public perception and concerns regarding bycatch and habitat impacts. The EM provisions align with Governor Dunleavy’s priorities by supporting responsible and sustainable resource management and improving transparency in Alaska’s commercial fisheries.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Legislative intent and findings that it is in the public interest to establish a new administrative area on the east side of Cook Inlet.

Section 2: adds authority to the Commissioner of Fish and Game Powers and Duties statutes to require an electronic monitoring program in a state commercial finfish trawl fishery after determining in writing 1) vessels that already have electronic monitoring systems onboard to participate in a federal trawl fishery, 2) implementation will not require a vessel owner to purchase or install new equipment beyond what is already required federally, 3) findings that electronic monitoring is a practical tool, will not duly disrupt the fishery, conducted at reasonable costs, and coordinated with federal programs and other agencies.

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Section 3: prohibits the commissioner from levying an assessment on fishery participants for the costs of the program.

Section 4: Creates the new east side Cook Inlet administrative area, which consists of ADF&G statistical areas, and restricts permit holders from fishing in the new administrative area unless their Cook Inlet entry permit is reassigned by CFEC.

Section 5: transition section to allow ADF&G to adopt regulations necessary to implement the electronic monitoring provisions.

Section 6: transition section setting out the process and requirements for CFEC to reassign Cook Inlet area set gillnet entry permits to the new east set gillnet administrative area.

Section 7: transition section directing appeals of CFEC decisions on permit reassignments to the superior court of Alaska on or before March 1, 2027.

Section 8: immediate effective date for Section 5.

Section 9: effective date of January 1, 2027, for the rest of the Act.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Rider bill: SB158 (similar to SB82 and HB195 from the 33rd Legislature introduced by Senator Bjorkman and Representative Ruffridge, and SB29 from the 32nd Legislature introduced by Senator Micciche).

Similar bills: SB209/HB294 (introduced by the Governor in the 33rd Legislature)

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support for the original HB117 included a variety of individual fishermen, small commercial operators, and fishing organizations primarily in Kodiak, Cook Inlet, and Egegik fisheries; some Bristol Bay fishery participants strongly opposed. However, given the set-gillnet cooperative provisions were removed, it is unknown if any of the original support or opposition exists for this new iteration of the bill.

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SB158 Support: Gary L. Hollier; Family set-net fishing business, Cook Inlet; glh@alaska.net; Dan Norman; Greg Johnson, Gary Hollier, Gary Deiman, Ted Crookston, Allan Crookston, Daniel Norman, Joann Wichers, Lisa Gabriel, Andy Hall, Travis Every, Nate Patsos, Tanya Dörner

SB158 Opposition: Russell Clark; ESSN permit holder; clark.farms@yahoo.com; Cheryn Clark; ESSN permit holder; clark.farms@yahoo.com; Mark Ducker; Upper Cook Inlet set gillnet fishery participant.

No individuals or organizations testified on record regarding the electronic monitoring provisions. However, through discussions with Sen. Wielechowski, ADF&G understands that some sport fishing groups, including the Kenai River Sport Fishing Association, support electronic monitoring for state-managed commercial fisheries. Conversations with Rep. Stutes also indicated that commercial fishing industry groups are comfortable with the limited scope of the electronic monitoring authority in this bill.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner's Signature: _____ **Date:** 5/20/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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